CRESTVIEW FINANCIAL HOLDINGS, INC.

FORM 10-K
Annual Report Pursuant to Section 13 or 15(d)
of the Securities Exchange Act of 1934

For the Fiscal Year Ended December 31, 2024

Commission File Number: 001-XXXXX
Ticker: CVFH | Exchange: NASDAQ
Headquarters: Springfield, Illinois

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PART I

Item 1. Business

Crestview Financial Holdings, Inc. (the "Company") is a diversified financial services holding company headquartered in Springfield, Illinois. Through its principal subsidiaries, the Company provides commercial banking, wealth management, and insurance brokerage services primarily to individuals and small to mid-size businesses in the Midwest region.

The Company was incorporated under the laws of Delaware in 1998 and has grown through a combination of organic growth and strategic acquisitions. As of December 31, 2024, the Company operated 48 full-service branch locations across Illinois, Indiana, and Missouri, with total assets of $8.4 billion.

COMMERCIAL BANKING

The Company's commercial banking segment offers a broad range of deposit products, commercial and industrial loans, commercial real estate loans, residential mortgages, and consumer lending products. The segment accounted for approximately 78% of the Company's total revenue for the year ended December 31, 2024.

WEALTH MANAGEMENT

The wealth management segment provides investment advisory, trust, estate planning, and retirement plan services to high-net-worth individuals and institutional clients. Assets under management totaled $3.1 billion as of December 31, 2024.

INSURANCE BROKERAGE

The insurance brokerage segment offers property and casualty, life, and health insurance products through a network of licensed agents. The segment generated $42.3 million in revenue for fiscal year 2024.

Item 1A. Risk Factors

INTEREST RATE RISK
Changes in interest rates may adversely affect the Company's net interest income and the fair value of its investment portfolio. A rapid increase in market interest rates could reduce demand for the Company's loan products and increase borrower defaults, while a sustained low-rate environment may compress net interest margins and reduce profitability.

CREDIT RISK
The Company is exposed to the risk that borrowers will fail to repay loans. Credit losses could increase materially if economic conditions deteriorate, real estate values decline, or borrower financial conditions weaken. As of December 31, 2024, commercial real estate loans represented 42% of total loans, which may be particularly susceptible to economic downturns.

REGULATORY AND COMPLIANCE RISK

The Company operates in a heavily regulated industry. Changes in banking laws, regulations, or supervisory guidance could impose significant additional compliance costs, restrict certain business activities, or subject the Company to enforcement actions, fines, or penalties.

TECHNOLOGY AND CYBERSECURITY RISK

The Company relies heavily on information technology systems to conduct its business. A significant failure, disruption, or breach of these systems could disrupt operations, compromise sensitive customer and financial data, and result in substantial remediation costs and reputational damage.

COMPETITION RISK

The Company faces intense competition from other commercial banks, credit unions, fintech companies, and non-bank financial institutions. Increased competition may result in pricing pressure on loans and deposits, loss of market share, and reduced profitability.

LIQUIDITY RISK

The Company's ability to fund operations depends on its access to stable funding sources, including customer deposits and wholesale borrowings. A sudden loss of deposits or disruption in wholesale funding markets could impair the Company's ability to meet its obligations.

Item 2. Properties

The Company's principal executive offices are located at 1200 Commerce Drive, Springfield, Illinois 62701. The Company owns 12 and leases 36 of its 48 branch locations. The Company believes its facilities are adequate for its current operations.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

OVERVIEW

For the year ended December 31, 2024, Crestview Financial Holdings reported net income of $98.4 million, or $2.31 diluted earnings per share, compared to net income of $112.7 million, or $2.65 diluted earnings per share, for the year ended December 31, 2023. The decrease in net income reflects margin compression driven by higher deposit costs and increased provision for credit losses.

Return on average assets was 1.17% for 2024, compared to 1.38% for 2023. Return on average equity was 9.84% for 2024, compared to 11.63% for 2023. The Company's efficiency ratio was 61.3% for 2024, compared to 58.7% for 2023.

NET INTEREST INCOME

Net interest income decreased $24.1 million, or 8.3%, to $266.4 million for 2024, compared to $290.5 million for 2023. The net interest margin declined to 3.34% in 2024 from 3.72% in 2023, primarily reflecting higher funding costs as deposit rates repriced upward in response to the elevated interest rate environment.

NONINTEREST INCOME

Total noninterest income increased $4.2 million, or 5.1%, to $86.6 million for 2024. Wealth management fees grew 11.2% to $38.4 million, driven by higher assets under management and new client acquisition. Service charges on deposit accounts declined modestly to $21.3 million due to continued consumer preference for fee-free products.

NONINTEREST EXPENSE

Total noninterest expense increased $12.8 million, or 5.6%, to $241.3 million for 2024. Salaries and employee benefits increased $8.1 million, reflecting merit increases and higher benefit costs. Technology and data processing expense increased $3.4 million due to ongoing digital transformation investments.

CREDIT QUALITY

The provision for credit losses was $28.6 million for 2024, compared to $18.4 million for 2023, reflecting growth in criticized loans and a more cautious economic outlook. Net charge-offs were $21.2 million, or 0.34% of average loans, for 2024. Nonperforming assets were $64.3 million, or 0.77% of total assets, at December 31, 2024.

PART II

Item 8. Financial Statements and Supplementary Data

CONSOLIDATED BALANCE SHEETS

(In thousands, except per share data)

	Dec 31, 2024	Dec 31, 2023
ASSETS		
Cash and cash equivalents	$ 412,318	$ 388,471
Investment securities	1,843,217	1,921,034
Loans held for investment	6,214,882	6,089,341
Allowance for credit losses	(74,312)	(66,841)
Net loans	6,140,570	6,022,500
Premises and equipment, net	98,341	104,218
Goodwill and intangibles	312,480	321,914
Other assets	292,874	274,163
TOTAL ASSETS	**$9,101,800**	**$9,032,300**
LIABILITIES AND EQUITY		
Noninterest-bearing deposits	$1,812,340	$2,041,218
Interest-bearing deposits	5,621,480	5,412,309
Total deposits	7,433,820	7,453,527
Borrowings	612,400	518,200
Other liabilities	132,481	128,314
Total liabilities	8,178,701	8,100,041
Total stockholders' equity	923,099	932,259
TOTAL LIABILITIES AND EQUITY	**$9,101,800**	**$9,032,300**

CONSOLIDATED STATEMENTS OF INCOME

(In thousands, except per share data)

	FY 2024	FY 2023
INTEREST INCOME		
Loans, including fees	$418,312	$431,084
Investment securities	62,418	58,312
Other interest income	18,214	12,301
Total interest income	498,944	501,697
INTEREST EXPENSE		
Deposits	198,312	179,042
Borrowings	34,218	32,141
Total interest expense	232,530	211,183
NET INTEREST INCOME	**266,414**	**290,514**
Provision for credit losses	28,600	18,400
Net interest income after provision	237,814	272,114
NONINTEREST INCOME		
Wealth management fees	38,412	34,543

Service charges on deposits	21,312	22,814
Insurance brokerage revenue	26,876	23,841
Total noninterest income	86,600	81,198
NONINTEREST EXPENSE		
Salaries and benefits	142,318	134,218
Occupancy and equipment	32,412	31,814
Technology and data processing	28,312	24,918
Other noninterest expense	38,258	37,562
Total noninterest expense	241,300	228,512
Income before income taxes	83,114	124,800
Income tax expense	28,312	38,412
NET INCOME	**$ 98,400**	**$112,700**
Earnings per share - basic	$ 2.32	$ 2.66
Earnings per share - diluted	$ 2.31	$ 2.65

Item 9A. Controls and Procedures

The Company's management, with the participation of its Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of the Company's disclosure controls and procedures as of December 31, 2024. Based on that evaluation, management concluded that these controls were effective as of that date. There were no material changes in internal control over financial reporting during the fourth quarter of 2024.

PART III

Item 10. Directors, Executive Officers and Corporate Governance

EXECUTIVE OFFICERS (FICTIONAL)

James W. Harmon, age 58 - Chairman and Chief Executive Officer
Sarah L. Chen, age 52 - President and Chief Operating Officer
Robert D. Patel, age 47 - Executive Vice President and Chief Financial Officer
Maria E. Sullivan, age 44 - Executive Vice President and Chief Risk Officer
Thomas A. Brooks, age 51 - Executive Vice President, Commercial Banking

Item 11. Executive Compensation

For fiscal year 2024, total direct compensation for the named executive officers was as follows:

James W. Harmon (CEO): Base salary $820,000; Annual bonus $492,000; Long-term equity $1,230,000; Total $2,542,000
Sarah L. Chen (COO): Base salary $620,000; Annual bonus $310,000; Long-term equity $780,000; Total $1,710,000
Robert D. Patel (CFO): Base salary $540,000; Annual bonus $270,000; Long-term equity $620,000; Total $1,430,000

These compensation figures are illustrative and do not represent actual compensation of any real individuals.